PART 06 REVIEW

Evidence review: evaluate a claim, then process a system

Work from the supplied information. State your assumptions before revealing a solution.

Task edition: worked solutions are omitted.

Convert a performance claim into checkable arithmetic

A fictional locked study has 10 nonoverlapping trades, each 1R $80: four gross +2R, five −1R, one −2R gap. Flat costs $4/trade. Account starts $10,000 with fixed-dollar sizing. Compute gross/net expectancy, net account return and flat break-even cost. Can it validate the rule?

Allocate simultaneous candidates

A simplified Atlas-20 variant has equity E = $50,000, of which $12,000 is cash; its four held positions have risen since entry, and they occupy four of the five slots. Use a $2 stop distance, a 0.5% price-risk allowance, a 10% notional cap measured at the limit price, and a cash allowance of (cash − $2.50 entry fee) ÷ limit; round each allowance down to whole shares, and reserve shares × limit + $2.50. Eligible A: close 40.00, prior-20 high 39.00. Eligible B: close 20.40, prior-20 high 20.00. Rank by breakout margin, 100 × (close − prior-20 high) ÷ prior-20 high, rounded to 0.01 percentage point. Each limit is close × 1.01, rounded down to the cent. Which candidate gets the order, how many shares, and what cash reserve?

Identify the research clock

A researcher logs six variants on 2015–19 data and locks one by a pre-written rule. Run once on held-out 2020–21 data, it averages +0.02R over 14 trades. After charting the held-out losers, she adds a filter: trade only if, within the prior 20 sessions, a completed low fell at least 1% below range support frozen before that low, and a close strictly above support followed within the breach session or the next three sessions, no later than the breakout's decision close. On 2020–21 the filtered version earns +0.31R over 8 trades. (a) Label both results. (b) How many variants has the search now tried, and under Chapter 25's independence model what is the chance that at least one no-edge variant passes a 5% test? (c) At which close is each filter event first known? (d) What data may evaluate the new version, and what must be frozen first?

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